

Judgment Sheet
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

Writ Petition No. 2096 /2013

JUDGMENT

Wali ur Rehman Vs. State Life Insurance Corporation of Pakistan and 4 others.

Date of Decision: - 26.04.2018

Petitioners by: - Mian Muhammad Sharif, Advocate

Respondents by:- M/s. Jahanzeb Khan Bharwana, Sajid Mehmood Sheikh, Rana Waqas Latif Sheikh, Shahzada Tahan dur Durani & Muhammad Umar Sharif, Advocates.

JAWAD HASSAN, J:- Through this single Judgment, this Court intends to decide the following writ petitions, in which common questions of laws and facts are raised:

1. Badar Rashid vs. State Life Insurance Corporation and 4 others, Writ Petition No.2094/2013.
2. Muhammad Ashiq vs. State Life Insurance Corporation and 4 others, Writ Petition No.2095/2013.
3. Abdul Hakeem Khan vs. State Life Insurance Corporation and 4 others, Writ Petition No.2097/2013.
4. Munir Ahmad vs. State Life Insurance Corporation and 4 others, Writ Petition No.2098/2013.
5. Ghulam Nabi vs. State Life Insurance Corporation and 4 others, Writ Petition No.2099/2013.
6. Abdul Qayyum Malik vs. State Life Insurance Corporation and 3 others, Writ Petition No.10549/2013.

2. By virtue of these Petitions, filed under Article 199 of the Constitution of the Islamic Republic of Pakistan, 1973 (the “**Constitution**”), the Petitioners have mainly assailed order dated 24.12.2012 passed by the Respondent No.1 whereby their representation was rejected.

3. Brief facts of all these Petitions are that the Petitioners earlier filed W.P. No.25967/2012 before this Court, and the matter was remitted to the Respondents for decision afresh considering it as Representation of the Petitioners. The Respondents duly decided the same vide their impugned order dated 24.12.2012, which is challenged in this petition.

4. In reply to this Petition, the Respondents filed their report and parawise comments denying all the allegations levelled in these petitions and praying for dismissal of the same.

5. Mian Muhammad Sharif, learned counsel for the Petitioners *inter alia* submitted that as per law laid down by this Court in the order dated 29.12.1999 as well as the Hon’ble Supreme Court of Pakistan vide order dated 24.11.2010, the employees completing more than six (6) months of service during retirement year are entitled to one usual increment for pension calculations purpose; that the non-statutory Voluntary Retirement Separation Scheme (VRSS) dated 15.11.2000 passed and circulated without prior Government approval is contrary to provision of Section 49 of the Life Insurance

Nationalization Order 1972 (the “**Order**”); that it is settled law that the benefit granted under the decision of the Court to litigant employees will be given to all other similarly placed non-litigant employees without dragging them into litigation ignoring the question of limitation, as such the Petitioners are also entitled one annual increment; that the State Life Employees Pension Regulations, 1986 (the “**Regulations**”) will in no way be overridden by any administrative order, therefore, the Petitioners’ earlier retirements w.e.f. 05.12.2000 under an administrative order dated 15.11.2000 are without any legal effect; that the impugned order dated 24.12.2012 passed by the Respondent No.1 in pursuance of orders of this Court in W.P. No.25967/2012 is totally against the law and facts as the said Respondent has failed to appreciate the fact that the revised pay scales effective from 01.01.2000 on which date the Petitioners were in service, will apply to the Petitioners who were retired on 05.12.2000. In support of his contention learned counsel has placed reliance on the case titled **I.A. Shariwani and others v. Government of Pakistan through Secretary, Finance Division, Islamabad and others** (1991 SCMR 1041), **Ch. Azhar Ali Safeer & others v. The State Life Insurance Corporation etc.** (Civil Petitions No.591 to 612 & 630 of 2003),

6. On the other hand, Mr. Jahanzeb Khan Bharvana, Advocate appeared on behalf of the Respondents vehemently

controverted the arguments advanced by the learned counsel for the Petitioners and prayed for dismissal of these petitions on the grounds that once the Petitioners accepted the VRSS with their free will and volition, the same cannot be cancelled and withdrawn as the same was concluded contract between the parties; that these petitions are hit by the principle of laches as they are filed after a period of 13 years from the acceptance of VRSS dated 15.11.2000; that the letter dated 12.02.2001 whereby the pensionary regulations were amended is altogether different issue with respect to the VRSS Policy; that this Court as well as the Hon'ble Supreme Court of Pakistan vide orders dated 15.04.2009 and 09.02.2011 set aside the amendment of regulation due to the reason that statutory regulations cannot be amended through an administrative order, hence the question of letter dated 12.02.2001 has no nexus with the present issue of VRSS; that the questions raised in these petitions have already been decided by this Court in W.P. No.11036/2013 vide order dated 24.01.2014 which was upheld by the Hon'ble Division Bench of this Court in I.C.A. No.173/2014 vide order dated 04.03.2014; that this Court has also dismissed similar writ petitions on the same point. Learned counsel, to strengthen his arguments, has placed reliance on the case titled **Ms. Salma Moosajee and another v. Federation of Pakistan and others** (2014 SCMR 135), **State Bank of Pakistan through Governor**

and another v. Imtiaz Ali Khan and others (2012 PLC (C.S.) 218), Muhammad Rafiullah and others v. Zarai Taraqati Bank Limited (ZTBL) through President, Islamabad and another (2018 SCMR 598), Muhammad Din v. Abdul Ghani and another (2012 SCMR 1004), Wali ur Rehman and others v. State Life Insurance Corporation and others (2006 SCMR 1079), Shahzad Nazir and 5 others v. Executive Vice President PTCL Lahore and 3 others (PLJ 2009 Lahore 758), Chairman State Life Insurance Corporation of Pakistan, State Life Building Karachi v. Noor Ahmed and others (Civil Appeal No.23-K of 2011), Nisar Ahmad v. State Life Insurance Corporation etc. (W.P. No.11036/2013), Malik Muhammad Sadiq v. State Life Insurance Corporation of Pakistan etc. (I.C.A. No.173/2014), Muhammad Yasin v. State Life Insurance Corporation of Pakistan etc. (I.C.A. No.161 of 2014) and Bilal Akhtar and others v. President/Chief Executive Officer and 6 others (2017 PLC (C.S.) 564).

7. M/s. Sajid Mehmood Sheikh, Rana Waqas Latif Sheikh, Shahzada Tahan dur Durani and Muhammad Umar Sharif, Advocates also vehemently opposed these petitions and adopted the arguments advanced by Mr. Jahanzeb Khan Bharwana, Advocate for the Respondents.

8. Arguments heard and record perused.

9. The minute read-through of the record reveals that infact the Respondents Corporation announced a VRSS on 15.11.2000 containing certain terms and conditions. The Petitioners and some other employees accepted the said VRSS and availed its benefits in terms of their pre-mature retirement. It is pertinent to mention here that the VRSS was a contract between the Corporation and the Petitioners and their retirement was never made under the Regulations. But subsequently the Corporation revised the pension scheme by making amendment in the Regulations which was challenged by some of the employees and was set aside up to the Hon'ble Supreme Court of Pakistan. Meaning thereby, that there were two set of employees, first who accepted the VRSS and got their pre-mature retirement after availing all the benefits of VRSS that were the Petitioners (the "**First Set of Employees**") and the second set of employees never availed the VRSS and retired under the Regulations and challenged the revised pension scheme in W.P. No.9183/2006 (the "**Second Set of Employees**").

10. During the course of arguments, the much stress laid by the learned counsel for the Petitioners is that the Petitioners are also liable to be extended benefit of the judgment of **Ch. Azhar Ali Safeer** *supra*. He reiterated and re-read the last paragraph of the said judgment. I have gone through the whole judgment. None else but the Petitioners themselves relied upon the said

judgment of the Hon'ble Supreme Court of Pakistan. I would like to reproduce the relevant paragraphs of the said judgment which reads as follows:

“9. We have listened to the arguments extensively but do not feel inclined to agree therewith. It would be appropriate to refer to various dates involved. The VRS Scheme was introduced on 15.11.2000. The Petitioners volunteered for the Scheme before 28.11.2000, their options were accepted on 01.12.2000 and consequently they were relieved on 05.12.2000. They also opted on 13.12.2000 that they would not claim new pay scales. It was about two months thereafter on 12.02.2001 that fresh pay scales were announced for the remaining employees who had not opted for the VRS Scheme. As the Petitioners exercised their voluntary option much before getting knowledge of the confidential letter, they cannot be justified in their claim that the option was obtained either through fraud or through misrepresentation. The learned counsel admitted at the bar that the confidential letter had come to the knowledge of the Petitioners much subsequent to the date when the Petitioners were relieved and the Scheme had been finalized. We are convinced that it was not a case where options were obtained either through misrepresentation of by fraud.

.....

12. The learned Tribunal rightly held and accepted the appeals to such extent because this claim, to the detriment of the employees, could not be enforced retrospectively. They were entitled to the same pensionary benefits as were admissible to them under the rules in force till 11.02.2001. As the denial of pensionary benefits provide recurring cause of action, the limitation also was rightly ignored by the learned Tribunal. Civil Petition No.630/2003, filed by the State Life Insurance Corporation in this behalf also deserves dismissal.”

11. From the above reproduced paragraphs, it is unequivocal that in paragraph 9 of the judgment, the case of the Petitioners/First Set of Employees, as alleged in the instant petitions, has been discussed whereas in the last paragraph i.e. 12, the case of employees who fall in the category of the Second Set of Employees has been discussed. Therefore, the Petitioners/First Set of Employees, cannot be allowed to mingle their case with the case of Second Set of Employees. As such, the Petitioners are not entitled to the benefit extended in the above said judgment of the Hon’ble Supreme Court of Pakistan to the Second Set of Employees being distinguishable from the present Petitioners. In this view of the situation, I feel no hesitation to hold that the Petitioners are not entitled to the same benefit as granted by the Hon’ble Supreme Court of

Pakistan in the above said judgment to the Second Set of Employees. Consequently, the last paragraph 12 is not applicable to the case of the Petitioners rather paragraph 9 of the judgment is duly attracted. Furthermore, the Hon'ble Supreme Court of Pakistan in case titled **Chairman State Life Insurance Corporation of Pakistan, State Life Building Karachi. V. Noor Ahmed and others** (Civil Appeal No.23-K of 2011) has also discussed the Ch. Azhar Ali Safeer case *supra* in the following manner:

*“We have heard the learned counsel for the parties and have perused the record. From the perusal of the record, it appears that the Appellant vide Notification dated 12.02.2001 revised the pay structure and fringe benefits for the officers who were in service on 31.12.2000. Admittedly on the said date none of the Respondents were in service of the Appellant and as such benefit under the revised pay structure cannot be extended to them which was calculated by the Appellant on the basis of the employees who were in service on 31.12.2000. By a three Members Bench of this Court, in the case of **Ch. Azhar Ali Safeer and others versus The State Life Insurance Corporation, etc.** (Civil Petition No.591 to 612 and 630 of 2003), while dealing with the same question involved in present case, in respect of the employees of the Appellant Corporation held that the benefit of Notification dated 12.02.2001 cannot*

be extended to the employees, who were not on the role of the Corporation on 31.12.2000.”

12. On the other hand, I am fully convinced with the arguments advanced by the learned counsel for the Respondents that this Court in the similar case (W.P.11036/2013) has dismissed the claim of the Petitioners which has been duly upheld by the Hon’ble Division Bench of this Court in I.C.A. No.173/2014. The relevant portion of the W.P. No.11036/2013 is reproduced below for ready reference and is as follows:

“The entire case of the Petitioners is based on the fact that the VRSS had to be approved by the Federal Government as was held in the order of this Court dated 15.04.2009 in W.P. No.9183/2006 which was upheld by the Hon’ble Supreme Court of Pakistan in its judgment dated 09.02.2011 in Civil Appeal No.528-L/2009. A bare review of the judgment of this Court alongwith the judgment of the Hon’ble Supreme Court of Pakistan shows that it is based on totally different issues. The case relied upon by learned counsel for the Petitioners is based on an amendment made in the Regulations of 1986 through an administrative order, therefore, in that case it was held that administrative orders cannot amend statutory regulations. In the instant cases, the Petitioners entered into a contractual arrangement with the Respondents on the basis of the VRSS. The VRSS was offered through circular No.Ref:PL-10(2) on

15.11.2000. It provided that once the VRSS was exercised it could not be cancelled/ revoked/ withdrawn or changed by the staff members. The Petitioners agreed to their premature retirement on the terms and conditions offered under the VRSS. In such a situation, there was no reason for the VRSS to be approved by the Federal Government as it was not a retirement under the Regulations of 1986 but in fact it was an offer made by the Respondents to their employees to accept monetary benefits against a premature retirement. The Petitioners have all accepted the terms and conditions of the VRSS and they availed all their benefits. There is no correlation in the instant cases with the judgments relied upon by the learned counsel for the Petitioners. Furthermore, it is noted that these petitions have been filed after a period of more than 13 years and during this period the Petitioners never objected or raised any objection against the VRSS and the amounts paid there-under.

7. Under the circumstances, no case for interference is made out. Petitions are **dismissed**.

Similarly, in the I.C.A. No.173/2014 the Hon'ble Division Bench of this Court has held as under:

“It is admitted position that the Appellant accepted the VRSS Scheme in the year 2000 and opted for retirement and also took all benefits under the said scheme. The said VRSS scheme is neither arising out of the Regulations nor has any statutory

backing, therefore, there was no requirement for the approval of the Federal Government u/s 49 of the State Life Insurance Nationalization Order, 1972 (“Order 1972”). The VRSS Scheme was a contractual arrangement between the Appellant and the Respondents. The said VRSS scheme was offered through Circular No.Ref:PL-10(2) on 15.11.2000, according to which once the VRSS scheme was exercised, it could not be cancelled/revoked/withdrawn or changed by the staff members. The Appellants accepted the said VRSS scheme and agreed to proceed on premature retirement availing all the benefits as per terms and conditions under the VRSS scheme.”

13. In Bilal Akhtar and others vs. President/Chief Executive Officer and 6 others, (2017 PLC (C.S.) 564 (Lahore)), the employees of Pakistan Telecommunication Company Limited retired under voluntary separation scheme sought direction for increase in the benefit of anomaly. This Court held that the Voluntary separation scheme was optional for the petitioners to accept the same or otherwise. The petitioners having exercised option to retire from service on and from cutoff date, could not be treated at par with the employees who did not exercise such option. Employees were paid emoluments in full and final for the period they worked after they had opted for retirement under voluntary separation scheme they had received benefits accordingly. The terms and conditions of scheme were

circulated amongst all the employees. The terms and conditions of scheme were opted by the petitioners/employees voluntarily without any coercion or duress. The petitioner/employees after signing and thumb marking acknowledged and accepted the terms and conditions of the scheme. The office letters had specified the amount to be received and same constituted to be full and final amount under voluntary separation scheme. The petitioners/employees after accepting the said amount could not turn around and seek additional benefits. Nothing was on record that scheme had been executed by the employees under duress or coercion rather they had received full and final payment after accepting the same voluntarily. The employees were estopped from challenging/questioning the terms of voluntary separation scheme, and the constitutional petition was dismissed in circumstances.

14. Moreover, the Hon'ble Supreme Court of Pakistan in case titled **Muhammad Rafiullah and others v. Zarai Taraqiati Bank Limited (ZTBL) through President, Islamabad and another** (2018 SCMR 598) has held as under:

“Where an employee voluntarily accepted and received benefits under some arrangement with the employer out of his own free will then he could not turn around and seek benefits that were ordinarily applicable to other employees”

15. It is further added that on the issue of laches the Hon'ble Division Bench of this Court in the earlier round of litigation on the same issue in case titled **Muhammad Yasin v. State Life Insurance Corporation of Pakistan etc. (I.C.A. No.161/2014)** has already given its view that the Appeal is hit by laches. The Appellants have approached the Court after a lapse of 13 years and that too after fully enjoying the benefits under the Scheme. No reason has been given for the said delay. Reliance in this regard can be placed on the case titled **State Bank of Pakistan through Governor and another v. Imtiaz Ali Khan and others (2012 PLC (C.S.) 218)** in which the Hon'ble Supreme Court of Pakistan has held as under:

“Laches is a doctrine whereunder a party which may have a right, which was otherwise enforceable, loses such right to the extent of its enforcement, if it is found by the court of a law that its case is hit by the doctrine of laches/limitation. Right remains with the party, but he cannot enforce it. The limitation is examined by the Limitation Act, 1908 or by special laws which have inbuilt provisions for seeking relief against any grievance within the time specified under the law and if party aggrieved does not approach the appropriate forum within the stipulated period/time, the grievance though remains, but it cannot be redressed because if on the one hand there was a right with a party which he could have

enforced against the other, but because of principle of limitation/laches, same right then vests/accrues in favour of the opposite party.”

16. From the above situation, it is evident that the Petitioner after twelve years filed the writ petition before this Court and in pursuance of which the Respondent No.1 passed the impugned order on 24.12.2012 which has been assailed by the Petitioners in the instant writ petition. Furthermore, there is no doubt that the case of the Petitioners which has been agitated before this Court in the instant petitions has already been dealt with up-till the Hon’ble Supreme Court of Pakistan. The judgments relied upon by the learned counsel for the Petitioners are distinguishable from the facts and circumstances of the present cases, as such cannot be relied upon. Furthermore, the learned counsel for the Petitioners has failed to point out any illegality or perversity in the impugned order dated 24.12.2012 which has been passed by the Respondent No.1 strictly in accordance with law and does not call for any interference by this Court.

17. In view of what has been discussed above, the Petitioners are not entitled to the claims sought for in these petitions. Therefore, these petitions stand dismissed.

**(JAWAD HASSAN)
JUDGE**

Approved for reporting

JUDGE